Traders@SMU – Long Short Equity Sector

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Enterprise Products Partners (EPD)

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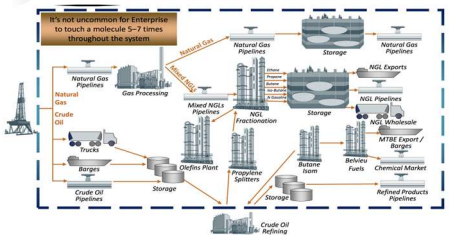
Energy (Midstream)
Symbol: EPD
Recommendation: BUY

Headquarters: Houston, TX USA
Current Price: $38.39

COMPANY STATISTICS	
Market Cap ($ Bn):	$81.20
Enterprise Value ($ Bn):	$115.0
Trailing P/E:	14.12
Forward P/E:	13.42
Enterprise Value/Revenue:	2.19
Enterprise Value/EBITDA:	11.94

EPD'S INTEGRATED MIDSTREAM VALUE CHAIN
Earning Fees at Each Link



Company Overview

Enterprise Products Partners is one of the largest publicly traded midstream energy companies in North America. Headquartered in Houston, Texas, the partnership owns and operates an extensive network of pipelines, processing plants, storage facilities, and export terminals that support the transportation and processing of hydrocarbons across the United States. The company's infrastructure spans more than 50,000 miles of pipelines and dozens of natural gas processing plants and fractionation facilities. Enterprise Products' operations are organized across several core business segments: NGL pipelines and services, crude oil pipelines and services, natural gas pipelines and services, petrochemical and refined products services, and storage and marine terminals. This diversified asset base allows the company to capture value across multiple points in the energy value chain, from production fields to end-market exports. The NGL segment represents one of the company's most significant revenue drivers. Enterprise Products operates a large network of pipelines that transport natural gas liquids from major shale basins to fractionation facilities along the Gulf Coast. These facilities separate raw NGL streams into individual components such as ethane, propane, and butane, which are then sold domestically or exported internationally. The company is also a major exporter of liquefied petroleum gas, supplying global markets in Asia, Europe, and Latin America. In addition to NGL infrastructure, Enterprise Products maintains a substantial crude oil pipeline network that connects key production regions—including the Permian Basin and Eagle Ford shale—to refining centers and export terminals along the Gulf Coast. These pipelines provide essential logistics infrastructure that enables U.S. producers to transport crude oil efficiently to both domestic refineries and international buyers. The company also maintains a strong balance sheet relative to its peers. Enterprise Products has historically targeted moderate leverage levels and maintains investment-grade credit ratings from major rating agencies. This financial discipline has enabled the company to fund significant infrastructure expansion projects while still returning capital to unitholders.

INVESTMENT THESIS

Enterprise Products Partners operates a highly diversified pipeline, storage, and processing network that spans crude oil, natural gas liquids (NGLs), natural gas, petrochemicals, and refined products. Approximately 80–85% of EBITDA is derived from fixed-fee or hedged contracts, meaning revenue is driven primarily by volumes transported rather than commodity prices. As a result, Enterprise Products behaves more like an infrastructure utility than an exploration and production company, offering investors consistent cash generation and high visibility into future earnings. Enterprise Products owns critical export infrastructure along the Gulf Coast, allowing it to capture increasing volumes of international trade. Enterprise Products has increased its distribution to investors for more than two decades, making it one of the longest-running distribution growth stories in the energy infrastructure sector. The partnership maintains a conservative balance sheet relative to many midstream peers, with strong credit ratings and manageable leverage ratios. This financial strength allows the company to self-fund many of its growth projects without excessive dilution or debt issuance. In addition, Enterprise Products consistently maintains a distribution coverage ratio above 1.5x, providing a margin of safety during periods of energy market volatility. Another important element of the investment thesis is the company's high and sustainable yield. Enterprise Products typically offers a distribution yield significantly above the broader equity market, often in the 6–8% range depending on price levels. For income-oriented investors, this provides both a strong current return and the potential for modest annual growth. When combined with steady midstream infrastructure demand, the stock offers a compelling risk-adjusted return profile relative to many traditional energy companies.

Source: Disney CSR Report